4.3 Auditing in-depth

Auditing in-depth refers to an examination of a few selected transactions from the beginning to the end through the entire flow of the transaction. While auditing in depth, the auditor reviews all the accounting and operational aspects of the transaction from the origin to the end. This enables the auditor to have an overall view and evaluate the procedures through selected transactions. In other words, it is a method of auditing under which a few selective transactions are thoroughly examined to arrive at accuracy of the accounting data. The auditor adopts this technique to evaluate the operation of internal control and internal check system.

Summary of Advantages and Disadvantages of Auditing in-depth	
Advantages	**Disadvantages**
1. Quick completion of audit work	1. Possibility of wrong selection of items
2. Saves cost and time	2. Unsuitable for small business concerns
3. Safeguards against manipulation of accounts	3. No objective method
4. Helpful in planning the audit	4. Based on intuition

4.4 Test Checking

4.4.1 Meaning

Test checking is a process of selecting and checking of a few transactions from a large volume of transactions. If the entries checked are found to be correct then the auditor assumes that the remaining entries are also correct. The technique is based on the theory of sampling which is commonly used as a statistical method. Checking each and every transaction that occurs during the year is both redundant and uneconomical for the auditor. Therefore, the auditor verifies and examines a few representative transactions in order to obtain sufficient appropriate audit evidence to base his opinion. Test checking reduces the volume of work of the auditor, if, in test checking, the auditor finds that the records checked by him are correct then no further detailed checking is carried out.

4.4.2 Applicability of Test Checking

Test checking can be applied in the following situations:

1. When there are large volumes of identical or routine transactions.
2. When transactions are large.
3. When the auditor has to certify the accounts quickly after the close of the accounting period.
4. When the auditor has past experience about the nature of transactions of the clients organisation.
5. When a satisfactory system of internal control and check system exist.

XI_Auditing_Chapter_4.indd 52 20-02-2019 10:19:28